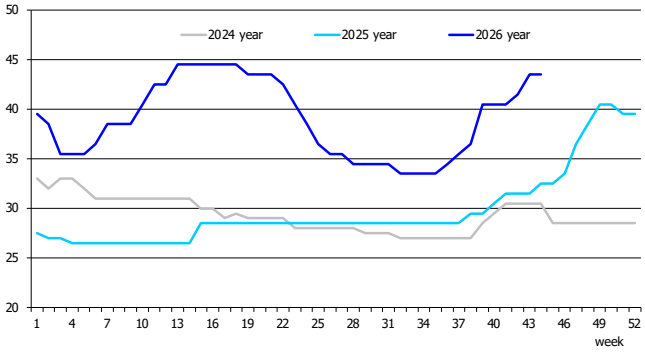
Charterers unable to stop increases in small-tonnage freights ex Black and Baltic Seas

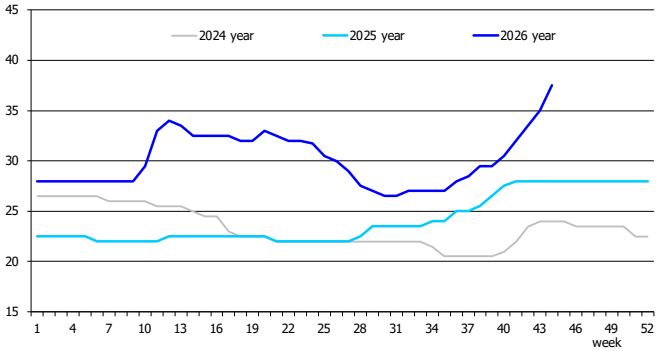
Black Sea freights keep tending upwards despite an about 30% increase in the region's vessel count. The shortage of tonnage available for shipments from the Danube and deep-water EU ports remains quite acute, forcing charterers to continue accepting higher rates. "There are actually plenty of grains offered from the Danube ports and from CVB, but many of them are not firm and will never be sold with such freights," a Ukrainian broker commented to ISM. "We had several cargoes from reliable charterers ex CVB within recent days, but all finally disappeared (a couple of them failed on subs), being not able to sell," an experienced Bulgarian broker confirmed. Thus, a rather absurd – yet quite common – situation has developed on the local market: fixing activity is declining in parallel with rising rates. By the end of the week, freights from Ukrainian ports have added another $10-13/t, those from Romanian and Bulgarian ports have risen by $1-3/t, while rates ex Turkey and Georgia have seen an upturn of $0.5-2/t. For instance, rates for shipment of 5-6,000 t of wheat or corn from Constanta or Varna to Alexandria or Iskenderun have inched up to mid $30's/t bss 1/1, while transportation of 3-4,000 t of grains from Izmail or Reni to Marmara now costs $107-110/t. Note that the bid/offer gap and even the spread in fixtures from Ukrainian ports sometimes exceeds $10/t. "What some traders consider absolutely unacceptable and economically unjustified ends up being a working rate for others," a Ukrainian trader explained to ISM.

The market picture in the Mediterranean Sea varies significantly depending on part of the basin. Thus, the western Mediterranean is still seeing a clear surplus of tonnage (despite a significant decline in the number of open 2-12k dwt ships, namely from 96 to 62 units over the week) – all due to moderate cargo traffic, which has slowed down further during the week. At the same time, cargo traffic in the eastern Mediterranean appears noticeably more active, while the vessel count is relatively limited. This allows shipowners to even push rates up in some cases. Shipments from the Eastern Mediterranean to the Danube (especially to Romanian ports) are the only exception, as relevant TCE may eventually turn out much lower than the OPEX level; however, some shipowners are willing to accept such rates in order to secure the next employment from the Danube, which will still bring the RV TCE to its highest level.

Urea, 5-6,000t, Damietta - Seville (2500x/2500x), $/t



Wheat, 5-6,000t, Constanta / Varna - Bari / Ortona (2500x/2500x), $/t



A steady cargo flow from the Baltic ports allows local owners to feel fairly confident. Shipowners continue to try to raise rates and often succeed. However, most freights have stayed at previous levels.

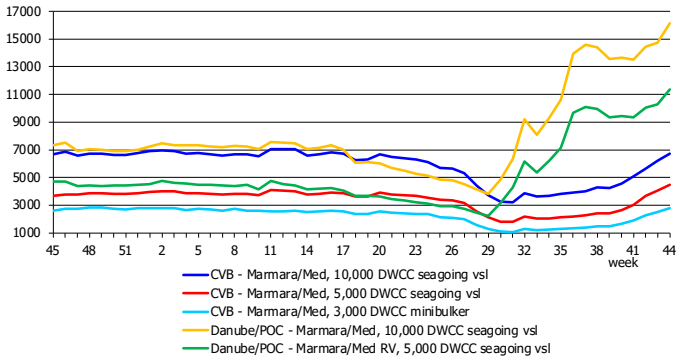
The Russian authorities' sudden announcement regarding the resumption of navigation in the Azov Sea sparked a storm of reactions among brokers and shipowners who have traditionally operated in this region; however, there is no talk yet of any resumption of grain exports or other cargo shipments. "It's practically a given that the vessels that were stranded in the basin over the summer can now, at their own risk, attempt to sail through the Kerch Strait into the Black Sea," a local broker told ISM.

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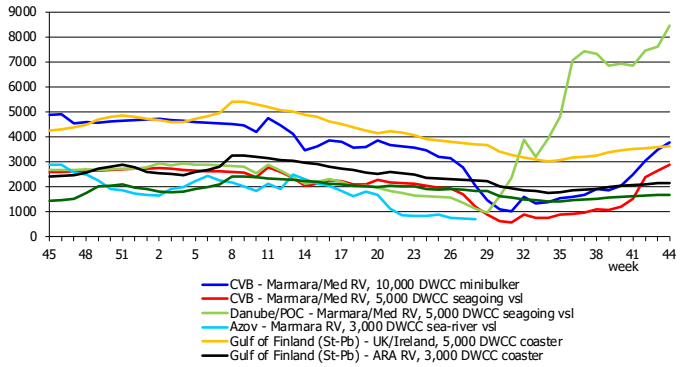
Contrary to strange rumors of a possible maritime ceasefire (especially given intensifying cynical Russian attacks on civilian targets and cities in Ukraine), the fundamental picture in the Black Sea market is unlikely to change. Further rate growth seems unlikely, as the already emerging decline in trade due to high transportation costs will most likely lower the excitement. Meanwhile, freight rates may resume increasing in North Europe.

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Average TCEs (given short ballast leg from TBS), $/day



Average round voyage TCEs (given backhaul leg in ballast), $/day



Coaster Freight Index

Head of Freight Analytic Department, Pavel Sosnovsky
p.sosnovsky@metalexpert.com
+38 (050) 635 98 01

Sales & Support Manager, Anna Bavbekova
a.bavbekova@metalexpert.com
+38 (067) 798 82 70

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